TRAILING-STOP LESSONS — XOM & SPCX

KORNIS PROTOCOL · WORKED EXAMPLES · THE TRAIL IS A LEASH LENGTH, NOT A PRICE

The formula, once

Trail value ($) = 1.5 × (5-minute ATR of the STOCK) × your option's delta. It rides that many dollars behind the OPTION's highest price since you placed it — ratcheting up, never down. Use it only AFTER T1 (half off, runner free); from the entry candle it just turns your structural stop into a noise stop. The number is small because it's a distance, not a level — and it scales with the stock's price and volatility, which is why a $40 stock and a $160 stock need very different trails.

LESSON 1 — XOM (calm, penny-wide, ~$160)

XOM's 5-minute ATR runs about **$0.25–0.30**. On a 0.70Δ call:

Delta	5-min ATR	1.5 × ATR × Δ	TRAIL VALUE	LIMIT OFFSET
0.70	$0.28	1.5×0.28×0.70 = 0.29	$0.30	$0.15
0.60	$0.28	1.5×0.28×0.60 = 0.25	$0.25	$0.15

Fidelity ticket: Positions → XOM call → Trade → ORDER TYPE → Trailing Stop Limit ($) → Trail amount **0.30**, Limit offset **0.15** → Day → Preview → Place. Example: option running at $6.20 → stop sits at $5.90; option ticks to $6.80 → stop auto-climbs to $6.50. It never falls back.

LESSON 2 — SPCX (wild, wide-ranging, high-beta)

SPCX is a different animal — its ranges are large (14-day ATR has run north of $20; intraday 5-minute ATR often **$0.60–1.00**). A $0.30 trail that's perfect for XOM would get you shaken out on SPCX's normal breathing in seconds. On a 0.70Δ contract:

Delta	5-min ATR	1.5 × ATR × Δ	TRAIL VALUE	LIMIT OFFSET
0.70	$0.70	1.5×0.70×0.70 = 0.74	$0.75	$0.30
0.70	$1.00	1.5×1.00×0.70 = 1.05	$1.05	$0.40
0.60	$0.70	1.5×0.70×0.60 = 0.63	$0.65	$0.30

Fidelity ticket: same path, Trail amount **$0.75** (calm day) to **$1.05** (wild day), Limit offset **$0.30–0.40**. THE LESSON IN ONE LINE: the trail must be wider than the stock's normal wiggle or the noise stops you out; SPCX wiggles 3× XOM, so its trail is 3× wider. Always size the leash to the animal.

How to get the real ATR in 10 seconds

Open the Cockpit, pull the ticker — the 5-minute ATR is on THE READ panel and in the status line. Multiply: 1.5 × that × your delta = your trail. Or eyeball it: look at the last 5–6 candles; the average height of one candle ≈ the 5-min ATR. Trail = about 1.5 of those candles, converted to option dollars by delta.

Trailing stops: after T1 only. Day orders only (flat by 2:45). The trail is the leash length, not a price. Wider stock = wider trail. Verify the fill behaves in Fidelity before trusting it with size.